Three Places Families Get Stuck on "What Can Mom Keep?"

What each one looks like, why it happens, and a better habit for each.

When a parent is in care and the bill is being paid from her savings, families tend to get stuck on the house and the money in the same three places. Getting stuck there says nothing about how well you've handled things, and all three have the same way through.

1 Watching the balance without asking how the rules may apply

WHAT IT LOOKS LIKE Each month the facility's bill is paid from Mom's savings, and each month someone in the family opens the statement and does the arithmetic in their head. Nobody has yet asked a person who knows Mom's state how the rules may apply to her.

WHY IT HAPPENS The bill arrives on schedule, so it gets the attention, and it's easy to take for granted that the savings simply have to be spent first. But eligibility rules vary from state to state, so nobody can say from the outside how they apply to Mom. [1]

> **WHAT TO DO INSTEAD** Put what Mom owns, how each thing is owned and what her care costs each month on one page, and take it to your Medicaid planner. Ask how the rules in her state may apply to her situation. The answer may or may not change anything. Either way, you'll be working from an answer and not from a guess.

2 Treating the house and Dad's share as already decided

WHAT IT LOOKS LIKE "The house will have to go." "Everything has to be spent first, Dad's share too." Or the opposite: "The house is fine, everybody says so." Someone says it with confidence at the kitchen table, and the family starts planning around it.

WHY IT HAPPENS The worry is a common one; the National Council on Aging says many older adults and caregivers share it. And what people repeat is usually part of a longer answer. Federal law has provisions meant to keep a spouse who is still living at home from being left with little or no income or resources, but how they apply depends on the state and on the couple. [2] [3]

> **WHAT TO DO INSTEAD** Treat every statement about the house or about Dad as a question until someone who knows your parents' situation has answered it. Write down whose names are on the deed, who lives there and what Dad has coming in each month, and ask your Medicaid planner or an elder law attorney what applies.

3 Treating “qualifying now” and “what comes later” as one question

WHAT IT LOOKS LIKE Someone tells you something about qualifying, and the family hears “so the house is settled.” Or you read about estate recovery and take it to mean Mom can't get help now. One answer gets stretched to cover both.

WHY IT HAPPENS Both come up in the same conversations and use the same words: the house, the savings. But they are different subjects. Estate recovery, as KFF describes it, is the recovery of certain Medicaid costs after an enrollee dies. It is a separate matter from whether Mom may qualify today. [4]

> **WHAT TO DO INSTEAD** Keep two lists: questions about qualifying now, and questions about later. When someone gives you an answer, note which list it belongs to. Ask your Medicaid planner to explain the difference for Mom's situation, and take the later questions to an elder law attorney.

The one habit behind all three

Write down what there is, what you've been told and who told you. Leave what it means to someone who knows Mom's state and her situation.

What this guide doesn't do

It doesn't tell you what Mom can keep, what happens with the house or what Dad's share is, and it isn't legal, financial or tax advice. It names three habits, which are the same three the Medicaid Planning Roadmap sees at this step.

Ready for the next step?

You know which assumptions to set aside until someone who knows your situation has answered. The planning interview gives you something to bring to that person: it asks about your family's situation and gives you a free planning report you can bring to any conversation about paying for care.

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WHERE THIS COMES FROM

That eligibility rules vary from state to state follows the federal long-term care site. The observation that the worry about the home is common is the National Council on Aging's, the description of the spousal provisions follows the federal Medicaid site, and the description of estate recovery is KFF's. The three sticking points are the Medicaid Planning Roadmap's own.

1. Administration for Community Living (LongTermCare information), Medicaid
2. National Council on Aging, What Is Medicaid Estate Recovery? And How Does It Work?
3. Medicaid.gov (Centers for Medicare & Medicaid Services), Spousal Impoverishment
4. KFF, What is Medicaid Estate Recovery?
